FREE DEAL SHEET

THE 4 NUMBERS THAT TELL YOU IF A DEAL WORKS

A first-pass filter. These are common rules of thumb, not guarantees. Always verify with real numbers for your market.

1 The 1% Rule — quick rent check

Monthly rent ÷ purchase price (plus repairs).

Many investors look for rent near 1% of the price as a quick screen. Well under that usually means the cash flow will be tight. Screen only: it ignores taxes, insurance and repairs.

2 Cash Flow — what's left each month

Rent – (mortgage + taxes + insurance + vacancy + repairs + capex + management + HOA).

A common shortcut is the 50% rule: assume about half the rent goes to operating expenses (not counting the mortgage). If the number is negative after realistic expenses, the deal doesn't work as a rental.

3 Cap Rate — the property's return before financing

Net operating income (rent – operating expenses, no mortgage) ÷ price.

Lets you compare properties side by side. What counts as "good" varies a lot by market and property type, so compare against similar local properties.

4 Cash-on-Cash Return — what your own money earns

Annual cash flow ÷ total cash you put in (down payment + closing costs + repairs).

This is the number that tells you if your dollars are working. Decide your own minimum before you look at deals, not after.

BONUS CHECK FOR FLIPS — THE 70% RULE

Max offer ≈ (after-repair value × 70%) – repair costs.

Quick ceiling for flips. Still run your own numbers on repairs and carrying costs.

How to use it

If a property fails #1 or #2, move on. If it passes, run #3 and #4 with real quotes for taxes, insurance and repairs.

Educational only. Not financial, tax or legal advice.